



Qualification Programme Examination Panelists' Report

Module 14 – Taxation (December 2022 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

The questions in this section covered topics including the taxation of service fee income earned by a Hong Kong resident from cross-border business activities and related tax compliance procedures, understanding of the information exchange regime, the general concept of taxing right, Permanent Establishment ("PE") analysis, tax assessment procedures, and penalty provisions for non-compliance business acts.

The overall performance of the candidates in this section was less than satisfactory. The Examination Panelists would like to remind the candidates that Section A questions are highly practical and aim at testing candidates' ability to tackle business problems in the role of a professional accountant. Candidates should demonstrate the ability to use the right information provided in the case, add on reasonable assumptions and understanding of typical business operations (this can be from work experience, news and business reports, professional journals, etc.), conduct relevant tax analyses, and come up with solutions.

Candidates who achieved satisfactory results are those who read the case carefully, cited relevant information from the case to support their analyses, and who wrote their answers succinctly. Time management is of the essence, as many candidates wrote more than sufficient for topics that they were familiar with, without leaving reasonable time to answer questions that appear to have been difficult. Furthermore, quite a number of candidates did not attempt certain questions at all, possibly to allow more time for questions that they were more confident about, even though these un-attempted questions carried substantial marks. As an examination strategy, this is not recommended, as candidates will notice from the suggested answers that some of the points that can earn marks are in fact very obvious and have been repeatedly tested in past examination papers.

The candidates should take a more liberal approach in handling this section by focusing on the facts provided in the case, which are structured to guide you through the appropriate thinking process. Read the questions carefully and narrow your answer to one that can be supported by the facts provided. Avoid overwhelming the answer with prepared materials and focus on key points that can address the question as if a professional accountant is providing value-added advice to a client's specific issues. Strictly follow the suggested time allocation given in the examination paper, bearing in mind the available marks for each question, and ensure full attempt of all questions. Please note the suggested answers are written for educational purposes, candidates can write the answers in a more concise manner given the limited time allowed.



Specific Comments

Question 1(a) – 6 marks

This question required candidates to demonstrate their knowledge of the practical aspects of profit source determination for service fee income earned by a sole proprietor. Most candidates scored very high marks, and, in fact, quite a large proportion scored full marks. This is a very popular topic, and candidates were well trained to tackle this type of question, so this satisfactory performance is not surprising. However, many candidates gave disproportionately lengthy answers that might have adversely affected their ability to answer (or even attempt) the rest of the questions.

Question 1(b) – 6 marks

This question required candidates to suggest documentation to substantiate an offshore claim on professional fee income. The key to success was to step into the shoes of John and draw a picture of how his consultancy business was conducted by realizing his customers were all in mainland China and the major workflow happened in mainland China. If candidates read the case carefully, it should not have been difficult to recognize the above features and to come up with the answer by taking a totality of fact analysis approach. Quite a number of candidates earned more than half of the maximum marks by simply writing the key points in a concise manner. The candidates' performance in this question was satisfactory.

Question 1(c) – 4 marks

This question required candidates to demonstrate their knowledge of the exchange of information regime. Candidates' performance in this question was diverse. Some candidates wrote answers that were very close to the suggested answers and thus scored full marks. Some candidates wrote answers that focused on Double Taxation Agreement ("DTA") in general but did not address in detail information exchange both from the perspective of DTA and the Inland Revenue Ordinance ("IRO"). This is an example of simply writing prepared materials without addressing the question requirements properly.

Question 2(a) – 4 marks

This question tested candidates' knowledge of the taxing right under tax law and DTA and the interplay between these two. A few candidates were able to grasp the relevant concepts and thus scored very high marks. Unfortunately, most candidates were possibly puzzled by the "One Country, Two System" opening words and thus failed to write any relevant points or did not attempt this question at all. Quite a number of candidates wrote along the line of double tax relief and tax credit, which were irrelevant. The overall result was unsatisfactory.

Question 2(b) – 5 marks

This question tested candidates' knowledge of PE under HK/China DTA and its application. Most candidates demonstrated a good understanding of service PE and how it could be applied in this case and, thus, scored high marks in this part. However, for fixed place PE, many candidates failed to comment that a hotel room could be a fixed place PE under certain circumstances, which could be inferred from John's habit of meeting his clients at hotel. Quite a number of candidates wrote too much on the definition of service PE and the rule on day count, which did not yield more marks and adversely affected the available time for other questions. Performance of candidates overall was satisfactory.

Question 2(c) – 4 marks

This question required candidates to demonstrate their knowledge of Individual Income Tax ("IIT") in mainland China. Surprisingly, candidates' performance in this question was poor. Very few candidates correctly pointed out that the income is subject to IIT in China (John, being the taxpayer, is an individual) and that, hence, explained the rules on income taxation and expense deduction. Most candidates incorrectly provided answers in the direction of Corporate Income Tax or were side tracked by a discussion on tax credit. Some even wrote on Value Added Tax or did not attempt this question at all, thus further lowering the average mark for this question.

Question 3 – 8 marks

This is a question that combined both technical knowledge of tax assessment and practical skills on providing solutions to a client's problem. Performance of the candidates was again diverse. Most candidates were able to point out that the tax assessments were final and conclusive and, hence, objection was not feasible. However, few candidates managed to suggest lodging a claim under s.70A of the IRO to achieve the objective of a refund and to further discuss the concerns of such a claim. Many candidates suggested lodgement of objection on time (probably under the assumption that similar situations would happen again in the future, but this is not consistent with the facts of the question asked), and some candidates discussed the refund under s.79 of the IRO but did not point out the pre-condition of re-opening the tax assessments under s.70A, which is the crux of the issue. Many candidates realized the ideas suggested by Peter were inappropriate but failed to give arguments to support this conclusion. Overall, candidates' performance was poor.

Question 4(a) – 6 marks

Generally, candidates could explain briefly the Assess First Audit Later ("AFAL") tax assessing practice and conclude that Peter's comments were invalid. However, most candidates failed to refer to the Inland Revenue Department's power to review tax assessments later and raise additional assessments under s.60 to recover tax undercharged. Performance of candidates was poor, with quite a number of candidates having ceased writing after describing the AFAL tax assessing practice, further lowering the average mark for this question.

Question 4(b) – 7 marks

This question tested the candidates' understanding of tax planning, tax evasion, and the relevant penalty provisions under the IRO. Peter's work plan as stated in the case was obviously outrageous and unacceptable. Candidates who had attempted this question generally highlighted this point and earned marks at various degrees, subject to how well they elaborated their answers with supporting arguments. They also demonstrated reasonably good understanding of the relevant penalty provisions in the IRO. Overall performance of this group of candidates was satisfactory. On the other hand, many candidates only wrote a little to indicate their correct views without any explanation, or even did not attempt to explain their answers at all. Should they follow the time allocation suggested in the paper, they should be able to get at least some marks on areas where the level of difficulty is actually low.

(II) Section B – Essay/Short Questions

General Comments

This section contained questions on various areas, including stamp duty, profits tax implication on disposal gain of property, chargeability of sums received upon termination of employment and timing of assessment, as well as expenses deduction under profits tax. Overall, candidates obtained satisfactory results in questions 5 and 7, but received relatively low marks in, or even skipped, questions 6 and 8. This is quite surprising as the topics in questions 6 and 8 are commonly seen in examinations on taxation, and their requirements were not really demanding. While international and cross border tax issues have become increasingly important in recent years, candidates should also put in effort to develop a strong foundation on local taxation matters. As in previous sessions, candidates who scored low mostly did not answer all the questions and/or misunderstood the question requirements. Candidates should drill on this aspect when preparing for the examination.

Specific Comments

Question 5(a) – 7 marks

This question required candidates to demonstrate their knowledge of stamp duty implications arising from the purchase and sale of residential properties. Generally speaking, candidates were able to apply case facts to their answers in an organized manner, which enabled them to score good marks. That said, students should pay attention to the rates of ad valorem stamp duty at scale 2 and the date of acquisition of property when counting the holding period for special stamp duty purposes.

Question 5(b) – 4 marks

This was a commonly asked question on professional ethics in tax practice. While candidates showed their knowledge of the relevant code and concepts in general, the key to scoring high marks was the effective application of knowledge to the specific circumstances of the case. Performance on this question was fair.



Question 6 – 11 marks

This question required candidates to analyse whether a property transaction constituted a trade and, thus, if the gain on disposal should be taxable. This is actually a hot topic in tax examinations, but performance was diverse, as a notable portion of the candidates did not attempt the question. Good candidates were able to identify the relevant facts and derive reasonable conclusions thereon. Some candidates spent time computing the gain on disposal, or even on discussing the salaries tax liabilities of the taxpayers, which were not related to the question requirements at all.

Question 7 – 16 marks

This question tested candidates' knowledge of the taxability of various incomes received on termination of employment. Many candidates applied the correct IRO provisions and the principles laid down in the Fuchs case and rightly determined the taxability of Sum A and Sum B. For Sum C, those candidates who identified that the proportionate benefits rule should apply generally arrived at the correct calculation. Regarding Sum D, the vast majority of candidates did not analyse how the taxability of shares granted during employment that remained unvested on termination would be affected by the cessation of employment. Furthermore, the question required candidates to advise the timing of assessment of the sums. Students should pay attention to ss.11B and 11D of the IRO, which are applicable to incomes including share awards (i.e., a perquisite). Performance on this question was satisfactory.

Question 8(a) – 7 marks

This question required candidates to prepare profits tax computations which involved certain deduction items. To attain better performance, candidates should equip themselves with good technical knowledge on interest deduction rules and be able to identify capital expenditures that are qualified for commercial building allowance or deduction under s.16F of the IRO. Moreover, some candidates were confused by the figures provided in the question, and thus formulated incorrect computations. Performance on this question was less than satisfactory.

Question 8(b) – 5 marks

This question required candidates to analyse the nature of expenses, i.e., revenue or capital, so as to determine their deductibility. Candidates generally performed better in the first part of the question, which had provided clear hints on the nature of the contracts being cancelled. The second part of the question concerned keyman insurance, an issue seemingly less explored by students, and naturally resulted in unsatisfactory performance. The importance of time management is also telling in this question, as many candidates did not attempt this question, or simply provided rough computations and answers, probably due to the time constraint.



(III) Conclusion and Recommendation

In this examination session, candidates' performance in both analytical and computational questions did not differ much from previous sessions. To score high marks in analytical questions, candidates are reminded to structure their answers firstly by setting out the applicable statutory provisions and legal principles, followed by analysis of case facts, and then draw a reasonable conclusion. In professional level examinations, candidates should also expect to deal with questions that are more practical in nature, where they are required to apply common sense in addition to technical knowledge, which would likely guide them to the correct answers. Candidates who exercise good time management in different questions will no doubt be at an advantage compared to those who spend too much time on certain questions. Moreover, careful reading of the question requirements will help candidates avoid giving irrelevant answers.